Tingting Ge (852) 2800-0143
tingting.ge@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Jiayi Li (852) 2800-5229
jiayi.c.li@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Feng Zhu (852) 2800 1745
feng.zhu@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Tongfang Yuan (852) 2800-0085
tongfang.yuan@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch

China: Trade blows out, but composition matters

- **Recent trade strength warrants outlook recalibration**
- **Export strength is concentrated in memory ICs, EVs, solar, and batteries, driving 58% of total export gains**
- **Imports are lifted more by AI supply-chain needs and commodity stockpiling, not domestic demand**
- **Export prices for semis have surged, picked up modestly for EVs, solar, and batteries, but continue to deflate for the rest**
- **Much depends on whether the trade truce with the US is extended and the impending new Section 301 tariffs**

At the start of the year, we held a cautious view on China trade, expecting headwinds from rising trade barriers and stricter enforcement against transshipment. Setting aside the usual year-start seasonal distortions, the trade data for the first four months of the year has been much stronger than anticipated. It is strong enough to warrant a recalibration of our full-year export and import outlook.

The key questions are where that strength is concentrated, and how much of it reflects rising prices vs. volume. Export value growth has been disproportionately driven by AI-linked memory modules, legacy memory ICs, large batteries, EVs, and solar panels. But the spike in export values is distorted by a surge in semiconductor prices. On the import side, the rebound is tied more to a combination of AI-related demand and renewed commodity stockpiling and far less to domestic demand.

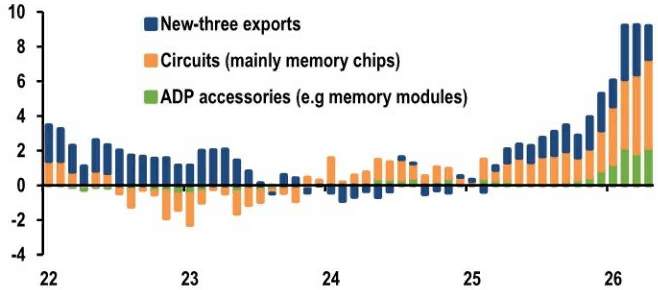
Together, these dynamics suggest that this year's trade strength is more sector- and price-sensitive than the broad, volume-driven story that supported net trade and GDP growth last year. i.e., the contribution to GDP growth and employment will be less.

New drivers of export strength

Last year, the dominant narrative was China's cost advantage and export deflation improving competitiveness even as U.S. tariff uncertainties intensified and China lost U.S. market share. But this year's export outperformance reflects different forces, despite shipment disruptions to the Middle East. The decisive contributors are auto data processing (ADP) accessories and storage units (e.g. memory modules), integrated circuits (e.g. legacy memory chips), and the "new three" products (EVs, solar panels and lithium batteries).

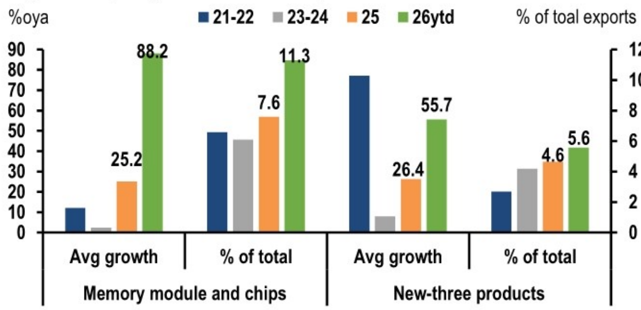
Between January–April, exports in U.S. $ terms rose 14.5%oya, and these three segments contributed 8.4% pts (or 58%) of the headline gain (Figure 1). AI-related memory modules and chips alone accounted for 12.4% of total exports in April (Figure 2).

Figure 1: New drivers of China exports
%pts contribution to total exports (US$) %oya growth



Source: China Customs, J.P. Morgan

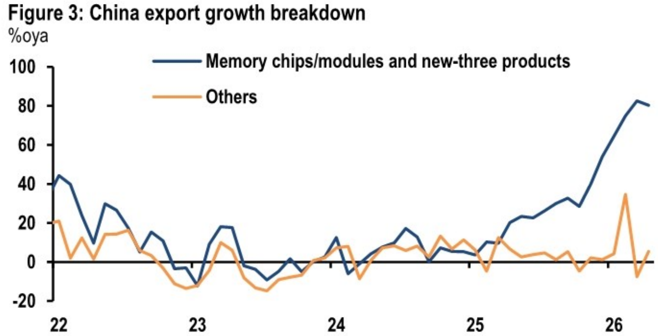
Figure 2: Export growth of selected products



Source: China Customs, J.P. Morgan. Right y-axis for % of total exports.

Outside these three segments, export growth was relatively steady through 2025, then spiked in February on LNY-related front-loading, before easing in March and settling into mild growth in April (Figure 3).

Figure 3: China export growth breakdown
%oya



Source: China Customs, J.P. Morgan

Middle East conflict: pains and gains

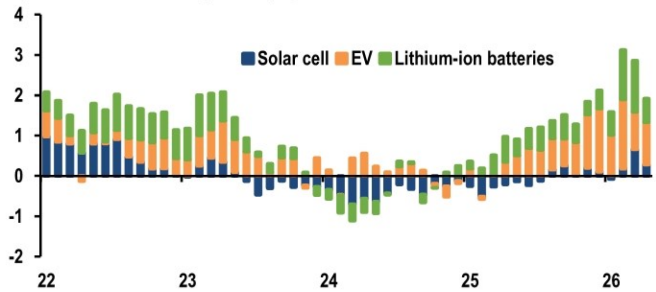
China's policymakers have often highlighted the post-pandemic shift in export composition from the traditional "old three" (clothing, home appliances, furniture) toward the "new three" (electric vehicles, lithium-ion batteries, solar products).

Tingting Ge (852) 2800-0143
tingting.ge@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Feng Zhu (852) 2800 1745
feng.zhu@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Jiayi Li (852) 2800-5229
jiayi.c.li@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Tongfang Yuan (852) 2800-0085
tongfang.yuan@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch

However, these new-energy exports have also encountered mounting pushback in key destination markets, ranging from allegations of state subsidies and unfair competition to concerns over overcapacity and dumping. Against a high base, growth in these categories cooled in 2H 2023 and 2024, turning into a net drag on overall export growth.

Geopolitical uncertainties and the energy shock crisis appear to have created an opportunity for Chinese new energy product manufacturers. Higher and more volatile oil prices improve the relative economics of electrification and accelerate energy-security-driven demand for alternatives, lifting overseas interest in EVs, solar panels, and lithium batteries. At the same time, China's scale and supply-chain depth in these products allow firms to respond quickly with competitive supply, turning solar panels, lithium batteries, and EVs into a more important source of export strength even as domestic auto sales have weakened. Exports of the "new three" products contributed 2.3% pts to the 14.5%oya ytd headline exports growth (Figure 4).

Figure 4: Exports of new-three products
%pts contribution to total exports %oya growth

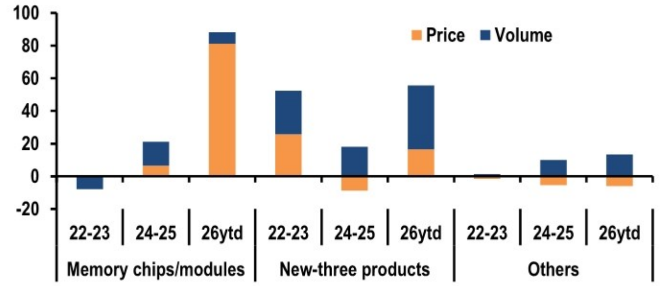


Source: China Customs, J.P. Morgan

Price changes vary widely

Complicating the interpretation of recent export strength is the growing role of price effects in some of the new export drivers. Memory chips/modules stand out: ADP module unit prices in US$ terms surged close to 200%oya (vs. 4.9%y/y in 2025), while IC prices rose 92.4%oya in April (vs. 6.9%y/y in 2025). Taken together, the primary driver of memory chip and module export growth has rotated from volume in 2025 to price in recent months (Figure 5). Their average price contribution to export value %oya growth rose to 85.2%pts in April (vs. 5.9%pts on average in 2025). Export prices for the three new products have also picked up this year, reversing the broad deflation seen over the prior two years, but in contrast to semiconductors, volumes appear to have done more of the heavy lifting.

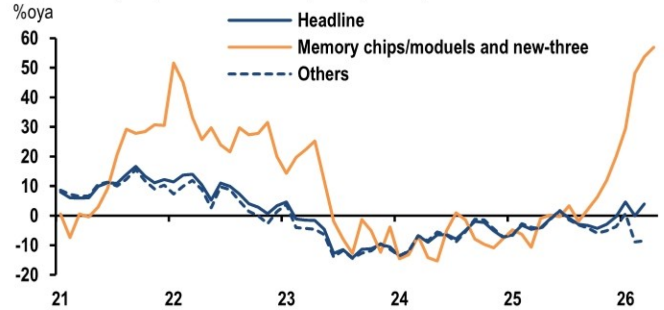
Figure 5: Export decomposition
%pts contribution to value %oya growth



Source: China Customs, J.P. Morgan

AI/memory-linked exporters have benefited from surging memory chip prices, while new energy sectors have been supported by renewed demand amid energy-shock resilience considerations. Beyond the new export drivers, however, export prices (in US$ terms) for other products remained in deflation as of March (Figure 6), even as PPI and headline export price annual rates turned positive. With CNY strengthening, especially in basket terms, and PPI rising more than expected in April, questions are emerging over whether China's export price competitiveness could begin to erode.

Figure 6: Export price breakdown (in US$ terms)
%oya



Source: China Customs, J.P. Morgan

The external energy-shock-driven rise in producer prices raises input costs and increases pressure to pass these costs through to export prices. While China's export prices tend to co-move with PPI, the recent spike in PPI inflation appears to be more concentrated in upstream, labor-light raw materials, with limited transmission into mid-to-downstream sectors so far. Consumer goods PPI remained in deflation. The extent of pass-through also hinges on how persistent the energy shock proves to be.

That said, China's export competitiveness should remain underpinned by its structural cost advantages, namely supply-chain depth, scale efficiencies as a manufacturing hub, and an ecosystem supported by efficient logistics. The energy shock is also hitting economies unevenly: China's energy consumption mix and reserves have made energy-cost pass-through less complete than some of its peers. As a result, even if head-

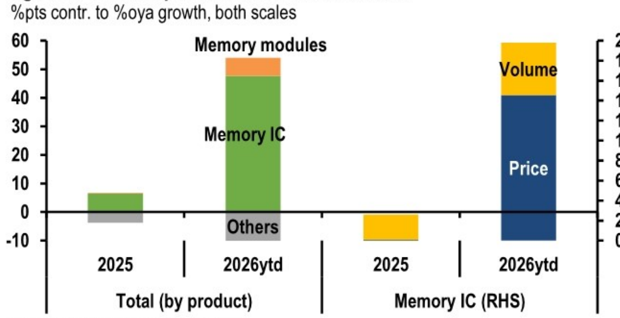
Tingting Ge (852) 2800-0143
tingting.ge@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Feng Zhu (852) 2800 1745
feng.zhu@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Jiayi Li (852) 2800-5229
jiayi.c.li@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Tongfang Yuan (852) 2800-0085
tongfang.yuan@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch

line export price growth turns positive, we expect consumer goods, which account for nearly 20% of China's exports, to continue to experience mild deflation, which could help underpin overall export competitiveness.

Linking to the regional AI supply chain

As China's apparent demand for ADP memory chips and modules has risen, imports of related products have also jumped, primarily driven by prices. Memory module import prices surged 359%oya in April, while import volumes, after expanding solidly through much of the past two years, have recently turned into a net drag. By source market, Korea stands out. Its shipments to China began to gain momentum late last year and have accelerated further recently, lifting the trend pace to 158%3m/3m saar. A more granular breakdown suggests the strength was concentrated in memory ICs. Import values have been increasingly lifted by the price effect, although underlying volume momentum has also firmed (Figure 7).

Figure 7: China imports from Korea breakdown

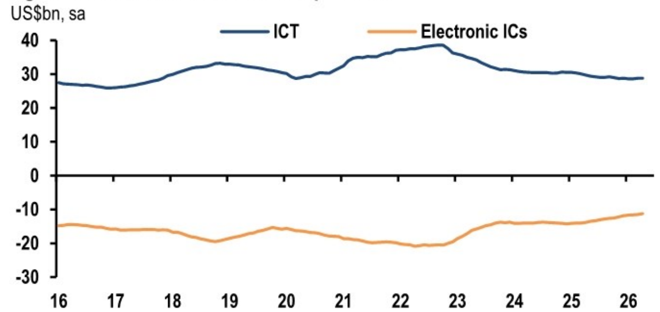


Source: China Customs, J.P. Morgan

This highlights how current import/export momentum is tied to global semiconductor supply tightness and the memory price cycle. Debate has intensified over whether China is also benefiting from the AI upcycle as Korea and Taiwan. We see some evidence: parts of China's AI tech ecosystem have gained from the global AI upcycle, supporting capex expansion. China's legacy chip producers have capacity and cost advantages in mature nodes and have benefited from chip inflation amid strong demand and tight supply. Global demand has broadened as hyperscaler capex extends beyond data-center buildouts to upstream enablers and smaller-cap players, while cybersecurity and infrastructure upgrades are also underpinning chip demand.

That said, China's position in the AI hardware supply chain remains structurally different from Korea and Taiwan, key producers of high-end chips and advanced memory for AI data-center demand that is closely tied to US hyperscalers' capex. China remains a net importer of memory chips and modules, albeit with a narrowing deficit especially for ICs (Figure 8), and is largely a price taker in that segment. This is more than offset by China's surplus in ICT trade. The AI tech sector's share of the overall economy is also relatively small.

Figure 8: Net trade of selected tech products

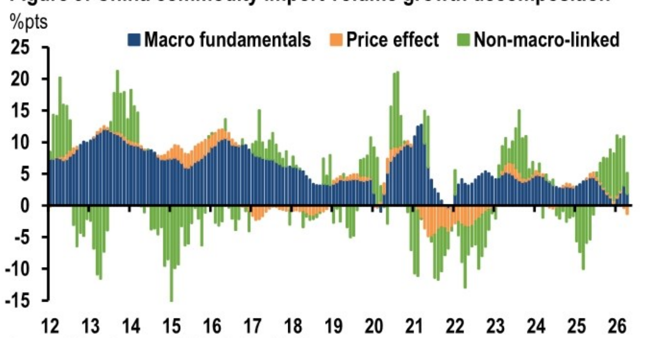


Source: China Customs, J.P. Morgan

Renewed commodity stockpiling

While the AI upcycle and chip inflation explain part of the import strength since late 2025, questions persist over whether this primarily signals a broader domestic-demand recovery. An additional, and underappreciated, driver is renewed commodity stockpiling. China's stockpiling accelerated in 2023 following the Russia–Ukraine conflict, with commodity import volumes reaching record highs that are difficult to explain by macro fundamentals or price effects (Figure 9).

Figure 9: China commodity import volume growth decomposition



Source: China Customs, NBS, PBOC, J.P. Morgan

More recently, heightened geopolitical uncertainty, particularly the Middle East conflict and the associated energy shock, has reinforced energy-security concerns, a theme highlighted by top policymakers at the April Politburo meeting. Stockpiling signals have been visible since 2H last year, even as FAI was collapsing, and appear to have intensified in recent months despite higher commodity prices.

That said, the import picture offers muted evidence of a broad-based domestic demand recovery. Outside of memory chips and modules, and a range of "stockpiling-prone" commodities (energy, minerals, chemicals, and metals), imports of other product categories have seen muted growth (Figure 10).

Tingting Ge (852) 2800-0143
tingting.ge@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Feng Zhu (852) 2800 1745
feng.zhu@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Jiayi Li (852) 2800-5229
jiayi.c.li@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Tongfang Yuan (852) 2800-0085
tongfang.yuan@jpmorgan.com
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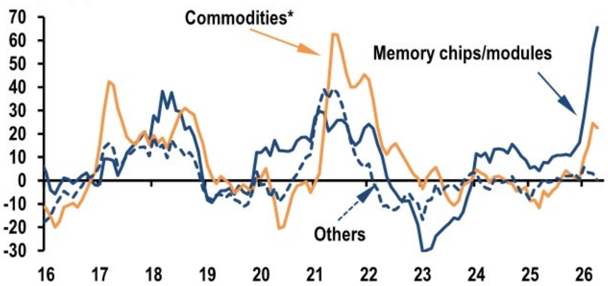
This composition points to demand that is still relatively narrow and policy-tilted: strength appears concentrated in high-end manufacturing supply chains, while more cyclical, consumption- and private-sector–driven import categories show limited momentum.

Figure 10: China imports breakdown
US$, %oya, 3mma



Source: China Customs, J.P. Morgan. *include HS25-40, 68-83.

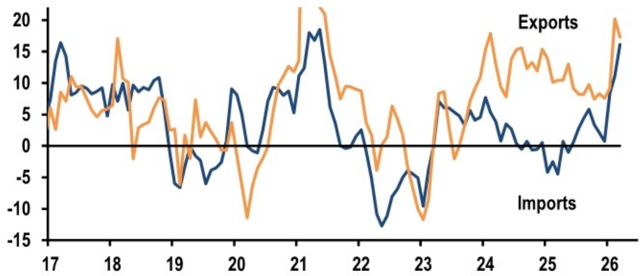
"AI/energy winners"

Taken together, the recent trade impulse looks asymmetric: strength is concentrated in a narrow set of AI- and energy-transition-linked "winners", while the broader economy remains exposed to higher oil and gas costs that could weigh on margins and activity (seen in April activity data) even as select export categories stay resilient. This backdrop is further complicated by lingering policy uncertainty, though the feared headwinds from rising trade barriers and stricter enforcement against transshipment have not yet materialized to derail broad export strength. US–China tariff risks remain, and there was no major breakthrough from the recent Trump–Xi summit or the extension of the 1-year truce. In addition, the U.S. could reimpose or extend new Section 301 tariffs soon. Global growth has also been more resilient than expected despite the energy shock, but pressures could still build if energy supply disruptions remain, keeping the external environment a swing factor for trade into 2H.

Implications for growth and employment

The GDP implications are less clear-cut. Barring a sharp pullback, this year's nominal export growth could reach the high single digits (around 8% in our latest forecast), roughly double our expectation at the start of the year (3.5%y/y). Meanwhile, with imports strengthening, driven in part by renewed stockpiling and AI supply-chain inputs, full-year nominal import growth (around 13%) could outpace exports for the first time since 2021. Import volume growth has also been catching up with exports lately (Figure 11).

Figure 11: Trade volume growth
%oya, 3mma



Source: China Customs, J.P. Morgan

Taken together, this could leave the net export contribution to economic growth smaller, more volatile, and more sensitive to relative price moves (chip prices, commodity prices, FX) and to shifts in the demand composition. Moreover, the current tailwinds are skewed toward labor-light, upstream, and tech-adjacent sectors (semiciconductors, metals/chemicals, energy and related equipment), where price-led gains can lift trade values without generating large, immediate multipliers for employment and household income, implying limited spillover to consumption and private-sector activity even if the headline trade impulse remains firm.

The growth implication contrasts with Taiwan and Korea, where exposure to the AI upcycle is more direct, anchored in high-end logic and advanced memory that are closely tied to US hyperscaler capex, and where the tech sector carries a larger weight and higher value-added share in overall production and exports. By comparison, the tech share in China's industrial production is below 15% (vs. 60% for Taiwan), which mechanically limits how much an AI-driven upswing can translate into broad-based acceleration, even when specific export categories are booming in nominal terms.

Still, there is a credible path for today's AI-linked outperformance to broaden over the next few years, even if the transmission is likely to be gradual. The policy-backed push into high-end manufacturing, alongside upgrades in cybersecurity, data center infrastructure, and selective capex, can help nurture new export and growth engines over time, starting with mature-node chips and adjacent hardware ecosystems where China already has scale and cost advantages, and potentially extending up the semiconductor value chain. Further out, priorities such as "mother machine" equipment and humanoid robotics could deepen the pipeline of higher value-added exports by strengthening capabilities in precision manufacturing, automation, and embodied AI. The key distinction is timing and breadth: near-term gains remain concentrated, while evidence of a broader domestic-demand recovery is still limited in the import mix.

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